

Home Ownership Tax Savings

When you own a home, you can deduct the mortgage interest and a few related costs from your taxable income by itemizing your deductions on Schedule A of Form 1040. By the end of January each year, your lender will send you a Form 1098 showing the amount of mortgage interest you paid during that year. Points you paid at closing are deductible the first year you own your home if they're considered a prepayment of interest and meet a number of other requirements. For a complete list of the requirements and limitations on deductibility of home mortgage interest, see IRS Publication 936, *Home Mortgage Interest Deduction*. If your points don't meet these requirements, you can deduct them over the life of the loan. Most of the other costs paid at closing are not tax deductible.



According to a study by the Center for Housing Policy, many low- and moderate-income families are spending half their income on housing instead of the recommended 28 percent because wages haven't kept up with the increase in housing prices.

Real Estate Property Tax Deduction

You can also deduct real estate property taxes from your taxable income. If property taxes are included in your mortgage payment and paid by your lender, claim the amount the lender actually paid out during the year, not the amounts included for taxes in your monthly mortgage payments. Your lender places these funds in an escrow account for safekeeping and uses the funds to pay your real estate and insurance. Frequently real estate taxes are adjusted at the closing so that the purchaser may have actually paid more or